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EMPLOYMENT AND SKILLING: these words came up 23 times and 10 times, respectively, in the Budget speech of Union Finance Minister Nirmala Sitharaman on July 23. No wonder then that these are perhaps the most talked about proposals in this year's Budget, even overshadowing Part B of the Budget that deals with tax and tends to be the most-awaited part of the annual exercise.

58 | With a population of 1.44 billion and a median age of 29 years, India's unemployment problem has been a crucial challenge confronting policymakers. What's more, nearly 80% of India's workforce is in the informal sector, making social security another concern. In fact, unemployment was a very prominent issue during the General Elections.

Factoring in these concerns, the Budget has proposed an outlay of ₹2 lakh crore over the next five years targeting 41 million youth as part of the Prime Minister's package on employment and skilling. The objective is to promote skilling and upskilling of youth to meet the requirements of employers and create an ecosystem where employers are nudged to invest more and hire more, especially first-timers, and move towards formalisation.

The announcements include three employment-linked incentive (ELI) schemes—Scheme A that will target first-time em-

UNDERSTANDING THE FIVE

- 1 **SCHEME A:** For first-timers, based on EPFO enrolment. One month's wage to be given as subsidy, DBT of ₹15,000 in three instalments
- 2 **SCHEME B:** Job creation in manufacturing; incentive to be paid to employee and employer for EPFO contribution
- 3 **SCHEME C:** Support to employers for additional employment for salary up to ₹1 lakh; government to reimburse up to ₹3,000 monthly EPFO contribution for two years
- 4 Skilling and upgradation of 1,000 ITIs, new centrally sponsored scheme with states and industry, course design in line with industry needs
- 5 Internship in the Top 500 firms for 10 million youth over 5 years. Monthly stipend of ₹5,000 for 12 months, programme in two phases, companies to use CSR funds

THE JOBS ECOSYSTEM



Budget announced five schemes under PM's package on employment and skilling



Aims to create skilling and other opportunities for 41 million youth over a five-year period with a central outlay of ₹2 lakh crore



The labour and employment ministry says scheme likely to be rolled out by the end of the year



Industry indicates inclination to employ under the proposed schemes

ployees in the formal sector registered with EPFO and will offer one month's wage up to ₹15,000 in three instalments; Scheme B that will incentivise employment in the manufacturing sector, especially for first-timers, through a contribution to the EPFO; and Scheme C that is employer-focussed and will cover additional jobs in all sectors. Plus, there are proposals for upgrading 1,000 industrial training institutes (ITIs) where 2 million youth will be skilled over five years, and internships for 10 million youth at the Top 500 companies over five years.

"These three (ELI) schemes are helping the employer offset additional employee costs that the industry has always been asking for. Second, these will help to formalise the workforce, which brings into place social security related to provident funds and other insurance-related aspects. And third, it helps improve employability of